

Ador Welding Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: ADOR · BSE: 517041 · Report prepared 3 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1 Snapshot

What the business does: Ador makes what you need to weld two pieces of metal together. Roughly three-quarters is **consumables** — the electrodes, filler wires and fluxes that burn up during a weld and must be bought again next week, the razor-blade part of the business. The rest is **welding equipment and automation** (machines, plus robots and cobots that weld without a human holding the torch) and **industrial maintenance & repair**, absorbed when sister company Ador Fontech was merged in September 2024. Until March 2026 it also ran a **Flares & Process Equipment** division doing large turnkey fabrication projects for oil-and-gas clients; that division has just been shut, and its closure is the single most important fact about Ador's earnings right now. Five plants, 850+ employees, 15+ countries, ~17–18% of India's organised welding market.

Measure	Value	What it means in plain words
Market cap	₹2,617 cr	What the whole company is worth on the market — a small-cap.
FY26 revenue & margin	₹1,140 cr 11.6%	Sales to March 2026, up just 1.5% on FY25's ₹1,123 cr — the top line has stood still. But the EBITDA margin (EBITDA = operating profit before interest, tax and depreciation) rose from 9.1% to 11.6%, just under 12 paise per rupee of sales and the best in three years.
FY26 net profit	₹82 cr	Up from ₹60 cr in FY25, but below FY24's ₹86.5 cr. Two years of no profit growth.
Q1 FY27 (latest)	₹309 cr sales ₹28 cr profit	Revenue up 22.9%, and a profit against a ₹3.9 cr loss a year ago. But the base quarter was crippled by a project write-off — the swing is mostly the absence of that provision, not new demand.
Balance sheet & cash	₹3 cr debt ₹95 cr FCF	Borrowings are effectively zero against ₹554 cr of net worth, with ₹92 cr of cash. Free cash flow (cash left after paying for plant and machinery) of ₹95 cr exceeds reported profit — the earnings are real. Return on capital employed 22.7%.
Cumulative project losses	₹63 cr	Losses booked in the Flares/projects division from June 2023 to September 2025, confirmed on the record by the Managing Director. Roughly nine months of group profit, incinerated.

2 Concall coverage — and an honest gap

Quarter	Call date	Transcript read?
Q4 FY22 – Q4 FY23	Jun 2022, Nov 2022, Feb 2023, Jun 2023	Yes — all four read in full
Q2 FY24 · Q4 FY24	9 Nov 2023 · 2 May 2024	Yes — both
Q2 FY25 · Q4 FY25	14 Nov 2024 · 12 May 2025	Yes — both
Q2 FY26	15 Oct 2025	Yes
Q4 FY26	30 Apr 2026	Yes — latest readable call ★
Q1 FY27	21 Jul 2026	NO — no transcript exists

Coverage caveat — read this before the analysis. Screener lists 27 concall rows going back to February 2016. Only **ten** lead to a genuine question-and-answer transcript, and those ten are the ones read here — Jun 2022 to Apr 2026, four financial years. Three real gaps sit behind that number:

- **Eight rows (Feb 2016 – Dec 2017) have no transcript at all** — only a slide deck; and **four rows Screener labels "Transcript" (Jun 2018, Aug 2018, Dec 2019, Jun 2021) are mislabelled**, the links pointing at investor *presentations*. No record exists of what was asked at any of those meetings. The Sep 2019 AGM transcript is a dead link (404). All pre-date the period that matters.
- **The most recent quarter has no transcript, and no call.** Screener shows a Jul 2026 row, but its "Transcript" entry is plain text with nothing behind it. BSE's full filing history for 15 Jun – 3 Aug 2026 confirms why: on 21 July Ador filed Q1 FY27 results and a 28-page presentation, and **no analyst-meet intimation and no transcript were ever filed**. Ador did not hold an earnings call for the June 2026 quarter. Q1 FY27 figures here come from the presentation and results filing, not from management being questioned.

Ador does **not** hold quarterly calls — two, sometimes three a year. No call for Q1 FY24, Q1 FY25, Q3 FY25, Q1 FY26, Q3 FY26 or Q1 FY27. Roughly half the last three years' quarters have never been discussed with analysts.

★ Latest concall highlights — Q4 FY26 (call held 30 April 2026, the most recent call Ador has held)

- **The loss-making projects division has been killed.** Announced end-March 2026: Flares & Process Equipment no longer exists as a division. MD Aditya Malkani, unusually blunt: *"We do not see ourselves being successful in large-scale projects."* What survives is a ₹20–30 cr product line inside welding, and from Q1 FY27 Ador reports as **one single segment**. This ends a three-year, ₹63 crore bleed.
- **FY26 was a clean-up year dressed as a growth year.** Standalone revenue up ~2%; welding revenue ~₹1,070 cr growing ~4%. What improved was margin: gross margin 38% (up 250 bps), EBITDA margin 12%, ROCE ~23%. Two big one-offs ran through the year — a **₹24.8 cr provision** for overruns and penalties on the late ONGC Uran project, and a **₹14.1 cr recovery** of a Kuwait receivable written off since 2020-21.
- **Plants are only 70% full.** Asked directly, Malkani put overall utilisation at *"approximately 70%"*, some lines at 90–95% and one at 99%. Capacity is 90,000 tonnes/year of consumables and 30,000 power sources. FY27 capex ₹30–35 cr, all in welding, mostly consumables — the July deck calls it an **₹80 cr programme over two years**.
- **Exports stalled.** After growing from ₹33 cr to ₹154 cr in three years, FY26 exports were *"fairly flattish."* Saudi slipped from second-largest overseas market to third; US tariffs stalled the American push. Better expected in FY27, but no number given.
- **Still refuses to guide, and is now disclosing less.** *"We have targets of course, but I am sorry, I don't share it publicly."* The consumables-versus-equipment split is withheld, and with one segment left there will be no segmental disclosure at all. The only forward number offered: **another 100–200 bps of EBITDA margin**, timing vague.

Business mix & capacity — a compact panel, and what is not disclosed.

Segment mix — no longer published. Last full split: **FY24 consumables ₹678 cr (~77%), equipment & automation ₹172 cr (~19%), flares ₹35 cr (~4%)**. Post-merger it became products 78% / maintenance & repair 14% / services 8% (H1 FY25). **From Q1 FY27 there is one segment and no split at all.** Asked point-blank in April 2026, the MD declined, saying only the ratio is *"pretty much along similar to what it was earlier."* Plain read: *you are being asked to trust an undisclosed mix.*

Domestic vs export — ~83–84% India, ~16–17% international. Exports ₹120 cr (FY24) → ~₹154 cr (FY25) → flat (FY26). Middle East ~80% of exports; UAE and Oman strong, Saudi soft, US blocked by tariffs. *Plain read: the export engine that grew nearly 5x in four years has stopped.*

Capacity — 90,000 tonnes/year of consumables and 30,000 power sources/year across five plants, ~70% utilised. Lines vary: flux-cored wire at 90–95% since 2023, one line at 99%. Utilisation was 75–80% through 2023 and is 70% now. *Plain read: capacity was added into flat volumes, so the plants are emptier than three years ago — weak demand, but also ~40% more output available from plants already paid for, which is why FY27 capex is only ₹30–35 cr and doubling volume would need just ₹100–150 cr.*

Raw material — steel wire rod, passed through on a 4-to-6-week lag. It broke in Q2 FY25 when demand fell faster than prices; margins fell to ~10% and management admitted discounting to clear stock. **Order book — essentially none by design**, as 80–85% of sales go through distributors on short cycles. The exception is welding automation, claimed in April 2026 to be *"the best order book... than we have ever seen"* — no number given.

★ 3. Earning-trigger thesis

Strip away the noise and Ador's story has exactly one large, verifiable earnings event in it: **it has stopped setting money on fire**. From June 2023 to September 2025 the Flares & Process Equipment division lost ₹63 crore — a figure the MD confirmed on the record — mostly on one badly-priced ONGC turnkey order at Uran that ran two years late. FY26 alone absorbed ₹24.8 crore of onerous-cost and penalty provisions from it. In April 2026 the division was abolished. That removal is arithmetic, not a forecast: a business earning ₹82 crore stops carrying a unit losing ₹15–25 crore a year, and Q1 FY27 immediately printed ₹28 crore of profit against a ₹3.9 crore loss. **The problem is what is left underneath**. Core welding grew about 4% in FY26 on flat volumes, exports went sideways after four years of compounding, and management will neither guide nor disclose the segment mix. The clean-up is real and largely done. The growth engine meant to take over — automation, exports, filling 30% of idle capacity — is stated, plausible and almost entirely unproven. Shipbuilding, defence and nuclear are the newest hope: Ador has 75–80% of shipyard approvals and NPCIL nuclear clearances, and reckons welding is ~2% of a ship's steel spend. Asked what it earns from shipbuilding today, the MD said only *"it is still small compared to the pie."*

Trigger	What management said	Evidence so far	Horizon	Strength
Exit from loss-making projects	Apr 2026: division abolished. <i>"We do not see ourselves being successful in large-scale projects."</i> Downgraded to a ₹20–30 cr product line expected to break even.	Delivered. ₹63 cr of losses to Sep-2025 stop. FY26's ₹24.8 cr provision does not repeat. Q1 FY27 profit ₹28 cr vs a ₹3.9 cr loss. Uran 96–97% done, <i>"no major exposures."</i>	Already in the numbers	Strong Fact, not hope — but a one-time reset of the base, not compounding growth.
Margin self-help: pricing discipline + mix	Oct 2025: <i>"Our margin expansion has come not necessarily from steel prices dipping... we were letting our prices go for some time and we've just been a little more particular about holding it."</i> Apr 2026: another 100–200 bps to come.	Working. EBITDA margin 11.0% (FY24) → 9.1% (FY25) → 11.6% (FY26) ; gross margin up 250 bps to 38%; Q1 FY27 held 11.6%. But the end-point has drifted: a 14% target floated in May 2024 is now "another 100–200 bps" off 12%.	1–2 yrs	Moderate Genuine recent delivery against a long record of missed margin promises.
Idle capacity — 70% to 90%+	Apr 2026: utilisation <i>"approximately 70%";</i> industry can run 90%. Doubling volume needs only ₹100–150 cr; FY27 spend ₹30–35 cr within an ₹80 cr two-year programme.	The headroom is real and cheap — why free cash flow was ₹95 cr on ₹82 cr of profit and the balance sheet stays debt-free. But utilisation only converts to profit if volumes grow, and volumes have been flat for two years.	2–4 yrs	Moderate Operating leverage sitting unused, waiting on demand that hasn't arrived.
Welding automation & robotics	Perennial priority since 2023. Apr 2026: <i>"our best order book for us on the welding automation than we have ever seen."</i> Partnerships with ITW/Miller, Hypertherm and Liburdi Dimetrics to plug product gaps.	Weakest evidence base. Automation was 10–12% of equipment sales in Nov 2023, promised to reach 25–30% in FY25, then never mentioned again. Oct 2025: <i>"we have still not turned the corner on automation."</i> No order-book or revenue number, ever.	3–5 yrs	Weak Three years of talk, nothing quantified. Structurally right, commercially unproven.
Exports	FY24: <i>"35%, 40% is something you can definitely put in"</i> as annual growth. FY26: <i>"fairly flattish."</i> Apr 2026: <i>"exports should do better"</i> — no number.	The best story Ador had, and the one target it clearly beat : ₹33 cr (FY22) → ₹120 cr (FY24) → ~₹154 cr (FY25) against a "₹100 cr by FY25" promise. Then it stopped. Saudi demoted from second to third market; US tariffs blocked the new-market push.	1–3 yrs	Weak / stalled A proven capability that has hit an external wall.

Middle East ~80% of exports; still only 16–17% of sales against a "20% in 3–4 years" ambition floated in 2022.

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Jun 2022 – Jun 2023	The projects division has been fixed: <i>"we stopped off only a focus on flares & process equipment, not doing jobs that were not adequate value addition."</i> Exports ₹33 cr, to grow 35–40% a year and reach ₹100 cr by FY25 ; equipment to reach ₹150–170 cr in 2–3 years ; blended margin 13–15% "in a year or two."	Split. Exports and equipment both delivered handsomely — ₹154 cr and ₹172 cr against targets of ₹100 cr and ₹150–170 cr. Margin missed: FY25 came in at 9.1%. And five months after declaring projects fixed, Ador signed the ₹145 cr ONGC Uran turnkey order — the large site-work contract it had just said it had stopped taking. It went on to cost ₹63 cr.	Delivered on exports Contradicted on projects
Nov 2023 (Q2 FY24)	Flares division to bill ₹70–80 cr in FY24 at a 10–11% margin , growing <i>"20–25% minimum, if not 30–35%"</i> . ONGC Uran ₹125 cr order, 90% executed between Jan and July 2024.	Missed on every count. FY24 flares revenue was ₹35 cr , half the low end, and lost ₹5–8 cr. Uran was 35–40% incomplete in Nov 2024, still open in Oct 2025, only 96–97% done in April 2026 — two years late.	Missed badly
Nov 2023 – May 2024	A 12.8% margin is sustainable and <i>"we keep building on it."</i> Equipment margins to hit double digits <i>"next year"</i> ; automation to go from 12–13% of equipment revenue to 25–30% in FY25 and turn profitable. Subsidiary 3D Future Technologies (dental aligners): losses <i>"reduced quite significantly"</i> , decision in 6–8 months.	All three missed. Margin fell to 10.2% (FY24) then 9.1% (FY25) , taking three years to regain a level called sustainable. Equipment margin fell from 6.7% to 4.6% (2.5% in Q4) and the automation target was never mentioned again — by Oct 2025 automation <i>"has still not turned the corner."</i> The 3DFT decision, six months later, was a ₹32 cr write-down — the single biggest cause of the Sep-2024 loss quarter — plus ₹5.56 cr more in Q1 FY26.	Missed (all three)
Nov 2024 (Q2 FY25)	A <i>"back-end benefit"</i> would come as Uran closed. Margin ladder: +2% <i>"low hanging fruit"</i> then +2% more over 2–3 years.	The opposite arrived — an extra ₹24.8 cr provision in Q1 FY26 turned that quarter into a loss. The first +2% of margin has landed (9.1% → 11.6%); the second is still promised.	Missed on projects Partly on margin
May 2025 (Q4 FY25)	Flares needs ₹50–60 cr of small-project revenue to break even, order book already <i>"70%, 80% of that level"</i> , breakeven after H1 FY26. Separately: double revenue in 4 years from ~₹1,100 cr, and a ₹2,000 cr-by-FY29 target in the May-2025 deck.	Five months later the breakeven number was restated to ₹15–20 cr — a third of the May figure, unexplained. Both cannot be true. On the revenue target, FY26 grew 2% : year one of four is gone and the remaining three need ~30% a year.	Inconsistent & off-track
Oct 2025 – Apr 2026	Oct: current margin (12.5% EBITDA) <i>"is sustainable throughout"</i> ; Uran <i>"on track to complete it in this quarter."</i> Apr: division abolished, another 100–200 bps of margin, and ₹2,000 cr by FY29 <i>"still following the principle... but the main principle that drives that is to triple our earnings."</i>	Margin delivered — Q3 and Q4 FY26 both ~15% standalone, FY26 closing at 11.6%, and Q1 FY27 held it at 11.6% with ₹28 cr of profit. Uran again did not close in the quarter promised. And the goalpost moved: a revenue target became an earnings target, a materially easier promise to claim credit for.	Delivered on margin Missed on Uran

Narrative drift — and a repeat offence. Ador's strategic story has moved in one direction for three years: *retreat*. The projects division went from a growth engine compounding 20–35% a year at 10–11% margins (Nov 2023), to something the MD was reassessing *"whether this makes sense as a long-term play"* (May 2024), to in-plant work only with *"minimal to no site work"* (Nov 2024), to *"not an EPC division at all"* with orders capped at ₹15–20 cr (May 2025), to a board review (Oct

2025), to gone (Apr 2026).

Here is the part that matters most: Ador had already been through this exact clean-up once before, and said so. In February 2023 Malkani described how, between roughly 2012 and 2019, the division had drifted into low-engineering contract work where *"your working capitals would get bloated up, the margins would be thin"*; how a Kuwait project went wrong; and how in September 2020 the board renamed it from "project engineering" to "flares & process equipment" precisely to stop it recurring. In June 2022 he told investors the fix was done. **Five months later Ador announced a ₹145 crore, thirty-month ONGC turnkey order at Uran** — the largest contract of its type it had ever taken, with no price-escalation clause. Three months after *that* he told analysts *"they are not going to be 130, 140 crore orders... the sweet spot of between 10 to 30."* The discipline was announced after it had already been abandoned; the order ran two years late and cost ₹63 crore. April 2026 is not the first correction of this mistake but the second, and the first did not hold. To his credit, Malkani has owned it plainly — *"I very consciously took a decision to take on a fairly large order of ONGC Uran... which was my responsibility"* — and takes the pain up front rather than dribbling it out.

Two other drifts matter as much. **The growth ambition keeps being restated downward while being described as unchanged:** "double revenue in four years" and "₹2,000 crore by FY29" (May 2025) became "the main principle that drives that is to triple our earnings" (April 2026) — a hard, checkable revenue number swapped for a softer earnings one at exactly the point the revenue path stopped being achievable. And **disclosure is going backwards:** two or three calls a year instead of four, none at all for the June 2026 quarter, the consumables-versus-equipment split refused, and a single reporting segment from Q1 FY27, so the segmental detail that made the ₹63 crore of project losses visible will no longer exist. Add CFO Suryakant Sethia's resignation on 30 July 2026, nine days after the Q1 results, and an outside investor's ability to check what management says is narrower today than at any point reviewed here.

5 Bottom line — two verdicts

Durable earning trigger? → MAYBE

There is a large, real, already-banked earnings event here, and it should not be confused with a growth engine. Ador spent three years and **₹63 crore** losing money on turnkey oil-and-gas projects it was never equipped to run, and in April 2026 shut that business down. The effect is immediate and permanent: Q1 FY27 earned ₹28 crore against a ₹3.9 crore loss, and FY26's ₹24.8 crore of provisions will not repeat. Add a genuinely good balance sheet — ₹3 crore of debt, ₹92 crore of cash, ₹95 crore of free cash flow, 22.7% return on capital — and plants only 70% full that could double output for ₹100–150 crore. That is real operating leverage with no financial risk. **What it does not have is demand.** Core welding grew ~4% in FY26 on flat volumes; exports went flat after compounding nearly five-fold; automation has been "about to turn the corner" for three years with not one number disclosed; shipbuilding and nuclear are called important and admitted to be tiny. The clean-up is the trigger, and it is finite. Whether Ador compounds from here rests on things that have not happened yet, in a business whose management refuses to forecast them. Buy the clean-up if you like; do not pay in advance for the growth.

Management consistent? → NO

The record is not close. Flares was promised ₹70–80 crore of FY24 revenue at 10–11% margins and delivered ₹35 crore at a loss. ONGC Uran was to be 90% executed by July 2024 and was still incomplete in April 2026. Equipment margins were to reach double digits and fell to 4.6%. Automation was to go from 12% of equipment sales to 25–30%, and the target was silently dropped. The aligner subsidiary's losses were "reduced significantly" six months before a ₹32 crore write-down. A 12.8% margin was called sustainable in 2023 and took three years to regain. The projects-division breakeven number was ₹50–60 crore in May 2025 and ₹15–20 crore in October 2025 — same management, five months apart, off by a factor of three, unexplained. And a hard "₹2,000 crore by FY29" revenue target quietly became "triple our earnings" at precisely the moment the revenue path became impossible.

Four things stop this being a contemptuous No rather than a plain one. Ador has hit some targets squarely — exports promised at ₹100 crore by FY25 came in near ₹154 crore, equipment promised at ₹150–170 crore landed at ₹172 crore. Malkani owns his mistakes on the record instead of blaming markets. He takes pain up front — *"we took a few slaps up front on our face in Q1"* — rather than dribbling write-offs across quarters. And the most recent promises, on margin, have been kept: 9.1% to 11.6% in a year, held through Q1 FY27.

What tips it to No is that the biggest failure was not a forecasting error but a **repeat of a mistake management had already diagnosed in public**. The division was cleaned up in 2020 after a Kuwait disaster and declared fixed in June 2022; the ₹145 crore Uran order was signed five months later; the "no ₹130–140 crore orders" rule came three months after that. Losing ₹63 crore doing the thing you have just told investors you stopped doing is a more serious category of failure than missing a margin number. Candour about failure is not accuracy about the future, and the direction of travel on disclosure makes the next round harder to check: fewer calls, none at all for the June 2026 quarter, the segment split withheld, segmental reporting abolished from Q1 FY27, and the CFO gone nine days after those results. Judge this management on the next four quarters of actual prints — for now, their word alone has not earned the benefit of the doubt.

Sources: Ten Ador Welding earnings-call transcripts filed with BSE/NSE, Q4 FY22 (Jun 2022) to Q4 FY26 (call 30 Apr 2026, filed 4 May 2026), via Screener.in; investor presentation and Q1 FY27 standalone and consolidated results (BSE filings, 21 Jul 2026); BSE announcement history 15 Jun – 3 Aug 2026 including the change-of-CFO filing of 30 Jul 2026; Screener.in standalone and consolidated financial history.

A note on standalone versus consolidated. Screener defaults to **standalone**; the company presents **consolidated**. For FY26 and Q1 FY27 the two are effectively identical (FY26 ₹1,135 cr vs ₹1,140 cr; Q1 FY27 ₹308.6 cr vs ₹309.5 cr). **One year differs materially: FY25 net profit was ₹43 cr standalone against ₹60 cr consolidated.** The gap is the ₹32 cr write-down of the investment in subsidiary 3D Future Technologies, which hits standalone in full but was already absorbed in the consolidated accounts — management said so in Nov 2024: *"you will not see this impact come on the consolidated because the losses have already been absorbed... this will not have any cash impact."* Figures here are consolidated unless stated otherwise.

One more thing. FY24's apparent 37% revenue jump (₹777 cr to ₹1,067 cr) is **not organic growth**: Ador Fontech was merged in with an appointed date of 1 April 2022 and prior-year accounts restated. The 38,04,348 shares issued to Fontech holders in September 2024 are also why promoter holding fell from 56.9% to 53.2%. No cash was raised.